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26th April, 2024

NIRMAL BANG RETAIL RESEARCH

MONTHLY REPORT

May'24 SERIES

RECOMMENDATION

Monthly Report - May'24

26th April, 2024

MONTHLY REPORT

Market Outlook

FUNDAMENTAL STOCKS	BUY/SELL	CMP	Target	Upside (%)
Epigral Ltd	Buy	1,305	1,690	29%
Suryoday Small Finance Bank Ltd	Buy	206	280	36%

Technical Outlook

TECHNICAL STOCK PICKS	BUY/SELL	CMP	TARGET	STOP LOSS
IEX	Buy	157.40	185	144
CUB	Buy	160	185	148

Derivatives Outlook

DERIVATIVE STRATEGIES	PREMIUM	TARGET	STOP LOSS
Long Strangle Strategy on NIFTY (CMP 22450) Buy NIFTY 16MAY 22500CE at 130 (weekly expiry) Buy NIFTY 16MAY 22300PE at 150 (weekly expiry)	280	550	200
Bull Call Spread on GNFC (CMP 722) Buy GNFC 30MAY 720CE at 35 Sell GNFC 30MAY 780CE at 15	20	40	10

MARKET OUTLOOK

26th April, 2024

- We saw lot of volatility in last month in different assets classes. In equities, the countries which were performing saw correction and countries which were underperforming like China saw upmove. Base metals and precious metals also saw upmoves. Dollar Index and US bond yield both moved up. In this scenario, Indian market saw some correction initially but thereafter bounce backed.
- The Geopolitical risk in Middle East between Israel and Iran, sticky inflation in US with initial signs of slowdown with PMI coming below 50 and GDP coming lower than expected, China Economy showing initial signs of reversal with first time PMI coming positive after many months and strong domestic flows in India supporting Indian market, were few of the reasons for this volatile behavior witnessed across different assets class through-out the world. This volatility is expected to continue in coming months as well.
- Domestically Strong buying by local fund continues. In March month, Domestic funds used the correction to deploy excess cash and the buying continued in April Month and absorbed all the selling of FIIs.
- Initial Quarterly results for Q4FY24 are mix bag where in FMCG, IT and cement are showing weaker numbers where as Banks and chemical companies are showing stability in earnings. Capital goods continues to outperform the expectations. Indian market is also looking at Central Election outcome expected in June first week which may keep the market a bit volatile in near term.
- Looking at the initial signs of slowdown in US, mix results from corporate India, Central election outcome expectation and recent bounce back due to domestic fund support; we expect market to remain in a range. We expect Nifty range to be 22000-23000 for May Series.

Epigral Ltd.

CMP: Rs. 1,305| TP: Rs. 1,690| Upside: 29%

26th April, 2024

Incorporated in 2007, Epigral Ltd (formerly known as Meghmani Finechem Ltd) is engaged in the manufacturing and selling of 'Chlor Alkali products' (Casutic Soda & Caustic Potash) and 'Derivatives & Specialty products' (Chloromethane, Hydrogen Peroxide, Epichlorohydrin and CPVC Resin, CPVC compound & Chlorotoluene).

Specialty and derivatives segment to drive the growth backed by commissioning of various projects

- Commissioned additional capacity of **CPVC resin** (45K MTPA)
- Expected to commission **CPVC compound** (35K MTPA) and **Chlorotoluene** (7.5K MTPA) capacities in Q1 and Q2 of FY25E, respectively. Expected Asset Turnover is in the range of 1.2–1.3x.
- Overall FY24 capex stood at Rs. 405 cr
- In addition, the company has planned further capex plans worth ~Rs. 300cr (to be announced in few months)

Healthy financials performance

- Revenue grew at 33.3% CAGR and PAT grew by 15% CAGR between FY20-24 despite challenges prevailing in the industry due to geopolitical situations and weak macro environment. The initiation of new projects and volatility in RM prices has led to a decline in overall operating margins; i.e. from 32% in FY20 to 25% in FY24. New project commissioning and strategic shift towards specialty products is expected to improve company's overall margins going forward. The management ensures normalized level of EBITDA should be maintained in the range of 24-26% in the near term on a conservative basis.
- Company's net debt stood at ~Rs. 960 cr. The management expects insignificant change in the absolute level of debt while it expects to improve debt ratios driven by overall business growth in the upcoming period.
- Overall chemical prices have bottomed out, thus, we hold a positive view regarding chemical industry over the long term.

Epigral Ltd.

CMP: Rs. 1,305| TP: Rs. 1,690| Upside: 29%

26th April, 2024

Valuation

- **Guidance:** The management has guided for 15% Volume growth in FY25E based on expanded capacity. Also, it aims to achieve ROCE in the range of 24% - 25%.
- Enhanced utilization: FY24 overall capacity utilization: 78% (83% for Q4). For FY24, Chlor Alkali plant utilization stood at 77% (80-85% for Q4). Epichlorohydrin utilization for Q4 stood at 60% (vs 55% in Q3). In terms of Chlorotoluene and CPVC Compound capacities, it expects to achieve 60% of utilization by FY25E and full utilization by FY26E.
- The company still has unutilized land amounting to 25-30% for potential future expansion. It will continue to invest in derivatives and specialty segment while planning for expansion.
- The management is focusing on strengthening its position in the specialty segment where revenue contribution has improved to 45% in FY24 from 38% in FY23. It aims to increase its share up to 70% over the next 2-2.5 years. In FY25, the same is expected to be in the range of 50-55% of revenue.

The stock is currently trading at 28x to TTM EPS due to weak financials of FY24. We assign 19x to FY26E EPS to arrive at a target of Rs. 1,690/share with an upside of 29% over the CMP.

Figures in Rs Cr

Year	Revenue	Growth	EBITDA	Margin	PAT	Growth	EPS	PE	EV/EBITDA	ROE
FY23	2,188	41.1%	689	31.5%	353	39.8%	85.03	15.3x	9.2x	33.0%
FY24	1,929	-11.8%	481	24.9%	196	-44.6%	47.13	27.7x	13.2x	13.5%
FY25E	2,153	11.6%	549	25.5%	219	12.0%	52.80	24.7x	11.6x	13.1%
FY26E	2,839	31.9%	795	28.0%	369	68.4%	88.91	14.7x	8.0x	18.1%

Suryoday Small Finance Bank

CMP Rs 206 | Target Rs 280 | Upside 36%

26th April, 2024

- Suryoday SFB serves unbanked & underbanked clients through products such as Micro (58%), Home (8%), CV (8%), Small Business (8%), NBFCs (11%) and Others (7%). Its advances of Rs. 7600 Cr are spread across Maharashtra (29%), TN (26%), Gujarat (12%), Odisha (12%), Karnataka (7%), MP (6%), Others (8%).
- Like all other MFIs and SFBs, Suryoday also bore the brunt of high defaults owing to Covid. However, the bank's peak GNPA was at 12%, much higher compared to a range of 6-8% for SFBs like Jana, Utkarsh and Ujjivan. Thus it took a longer period to provide for the bad book compared to peers, which led to depressed return ratios as well as sluggisg stock price performance during FY23.
- However, credit costs are now expected to normalise to 2.2% from 4.4% in FY23 on the back of –

(i) Revamped business architecture with a separate collection team v/s outsourced model earlier.

(ii) Overhauling of the credit underwriting process which has been made more stringent.

(iii) Trend of rising mix of secured products from 32% in FY22 to 42% today infuses confidence.

(iv) Rising mix of Vikas Loans (Individual) within Micro loans as compared to JLG model. (VL offers higher ticket size, higher yield, better asset quality). VL now forms 45% of total Micro Loans.

(v) Suryoday has made it a practice to cover 80% of Micro loan portfolio under CGFMU (Credit Guarantee Fund for Micro Units) which lends sustainability to its business model.

Suryoday Small Finance Bank

CMP Rs 206 | Target Rs 280 | Upside 36%

26th April, 2024

Peer Comparison

Q3FY24 Metrics	Ujjivan	Utkarsh	Jana	Avg.	Suryoday
Loan Book (Rs cr)	25,620	14,986	23,610	21,405	7,179
Growth YoY	31%	22%	28%	27%	35%
Loan Mix					
Unsecured (Mainly MI	72%	65%	40%	59%	58%
Secured	28%	35%	60%	41%	42%
Cost/Income	56%	55%	57%	56%	62%
GNPA	2.2%	3.0%	2.2%	2.5%	3.1%
NNPA	0.2%	0.2%	0.7%	0.4%	1.4%
Credit Cost	0.9%	2.8%	2.7%	2.1%	2.1%
CASA	25.5%	20.0%	18.8%	21.4%	18.5%
Yields	19.3%	19.1%	19.5%	19.3%	20.2%
Cost of Funds	7.5%	7.9%	7.6%	7.7%	7.5%
Spread	11.8%	11.2%	11.9%	11.6%	12.7%
NIM	8.8%	9.7%	7.9%	8.8%	9.8%
Tier 1	22.0%	21.5%	14.9%	19.5%	25.7%
FY26E Metrics					
ROA	2.7%	2.0%	2.0%	2.2%	2.1%
ROE	22.0%	18.0%	23.7%	21.2%	16.3%
P/BV (x)	1.3	1.6	1.2	1.4	0.9
P/E (x)	6.6	9.3	5.6	7.2	6.0

Source: NBRR

With AQ issues settled and a lower base, we expect Suryoday to grow faster than larger peers

C/I is higher as 80% of the Micro loan portfolio is covered under CGFMU (which acts as an insurance expense). Excl. CGFMU, C/I would be at 58%

High Tier-1 has also resulted in lower leverage; thus ROA is a better metric v/s ROE

Valuation gap of 35% is unwarranted given the business restructuring w.r.t. AQ and faster growth

Suryoday Small Finance Bank

CMP Rs 206 | Target Rs 280 | Upside 36%

26th April, 2024

- A key aspect which is underappreciated by the market is that Suryoday is one of the few banks that has availed the CGFMU scheme which safeguards it in case of any black swan event. Most of the MFIs/SFBs have ignored this scheme sighting it as an unnecessary expense in the short term, while ignoring the longer term stability it adds to the business model.
- Post the comprehensive restructuring exercise done by Suryoday with respect to its asset quality over FY20-23, we expect the bank to shift its focus on growth. We expect advances to grow at 31% CAGR over FY24-26E driven by faster growth in secured book at 35% CAGR led by affordable housing, CV and Small Business; while Micro loans shall grow at 29% CAGR.
- We expect the gap in ROA between Suryoday and peers to close down from 160 bps in FY23 to just 15 bps by FY26E. Accordingly, we believe the current valuation gap of 35% is unwarranted and expect it to narrow down to 25%. Upon valuing Suryoday at 1.2x FY26E BVPS, at a 25% discount to our target multiple for peers of 1.6x FY26E, we arrive at a fair value of Rs. 280.

Figures in Rs Cr

Year	NII	Growth	PAT	Growth	EPS	PE	BVPS	P/BV	ROA	ROE
FY23	747	28%	78	-184%	7.3	28.1	149	1.4	0.9%	5.0%
FY24E	975	31%	217	179%	20.4	10.1	170	1.2	1.9%	12.8%
FY25E	1,262	29%	292	35%	27.6	7.5	197	1.0	2.1%	15.0%
FY26E	1,575	25%	372	27%	35.0	5.9	232	0.9	2.1%	16.3%

NIFTY TECHNICAL OUTLOOK

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- The Nifty rallied strongly in the first week of April, reaching a life-time high of 22,775.70. However, after hitting the all-time high, the Bulls were unable to sustain their gains at higher levels. This shift triggered profit booking, or a correction, of almost 1,000 points.
- Technically speaking, the Nifty faces strong resistance between 22,640 and 22,700. If it manages to close above 22,700 for two consecutive trading sessions, this could pave the way for an upward rally towards 23,000/23,300 levels.
- On the downside, the Nifty has strong support at 22,200, its 50-Day Moving Average. If it fails to hold above this level on a closing basis, it could see further selling pressure, potentially pushing the Nifty down to 21,800-21,600.
- The daily momentum indicator, RSI, shows strength, hinting at a potential near-term uptrend. Traders should avoid aggressive short positions and consider buying opportunities on dips, as these could strengthen the Nifty.
- BANKNIFTY :-Bank Nifty has immediate resistance at 49,000-49,200. A close above 49,200 may extend the rally towards 49,800/50,500. On the flip side, support is positioned at 48,000/47,500. Overall, the view is positive, as long as the Bank Nifty doesn't show any strong sign of reversal from support levels.



TECHNICAL STOCK PICK

IEX

26th April, 2024

IEX BUY- CMP Rs 157.40

- Technically, Weekly chart suggest that stock has given the breakout of downward sloping channel suggesting potential up move in near term.
- Stock is well placed above all the important moving averages on closing basis.
- Interesting fact is that's price is rising along with decent volume indicates strength.
- Momentum indicator RSI is showing strength in its weekly charts.
- BUY IEX above 157.40, ADD on dips at 150 for a Target of Rs 185 with a strict stop loss of Rs 144



TECHNICAL STOCK PICK

SUDARSCHEM

26th April, 2024

MONTHLY REPORT

CUB BUY - CMP Rs 160

- CUB has given a breakout of cup and handle formation on weekly charts.
- Daily chart suggests that stock has given the flag pattern breakout with volume indicates potential up move in near term.
- Stock is well placed above all the important moving averages and a positive average crossover is seen.
- Momentum Indicator such as RSI is showing a positive crossover.
- CUB BUY above 160, ADD on dips at 154 for a Target of Rs 185 with a strict stop loss of Rs 148.

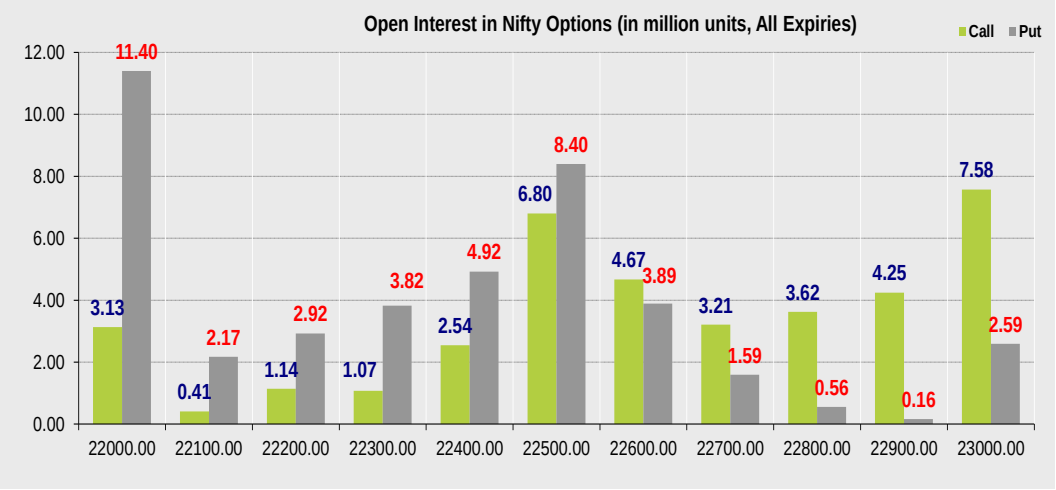


DERIVATIVES OUTLOOK

26th April, 2024

MONTHLY REPORT

- The Nifty Apr rollover of 65.12% is lower than its Three months average of 76.79% and its six months average of 77.73%.
- The Banknifty Apr rollover of 74.41% is lower than its Three months average of 77.36% and its six months average of 79.82%.
- The market wide rollover of 91.10% is lower than its three months average of 91.39% and its six months average of 91.78%.
- Nifty is opening the series with average open interest which means index is likely to witness continuation of uptrend in May series.
- The Index options OI for May series is indicating that index is likely to remain positive.
- The PCR is within range while VIX has cooled off indicating positive bias for the May series.
- **View: The index is likely to remain positive and in the May series with important supports placed at 22500-22000 levels and resistance at 23000-23500 levels.**



- Stocks likely to remain positive through the month; based on Rollovers analysis are as follows:

VOLTAS, CIPLA, GNFC, HDFCBANK, BIOCON, NMDC.

- Stocks likely to remain negative through the month; based on Rollovers analysis are as follows:

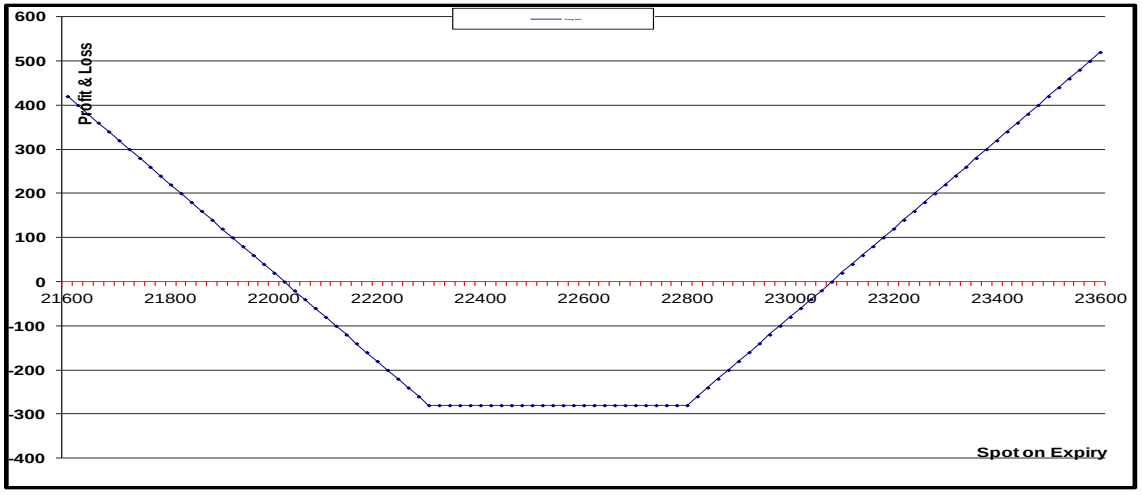
M&MFIN, KOTAKBANK, ICICIPRULI, INDHOTEL, SBILIFE.

Long Strangle Strategy on NIFTY (CMP 22450)

Buy NIFTY 16MAY 22800CE at 130 (weekly expiry)

Buy NIFTY 16MAY 22300PE at 150 (weekly expiry)

- Total Premium Outflow & Max Loss: 280 pts, Target: 550 pts, Max Gain : Unlimited, SL:200, Lot size: 50.
- The Vix which is trading at lower levels indicates reversal to be seen which will increase volatility in market. While OI is having a spread in the range of 22800-22000. Either side movement of more than 500 points is likely which will help the strategy gain profits.



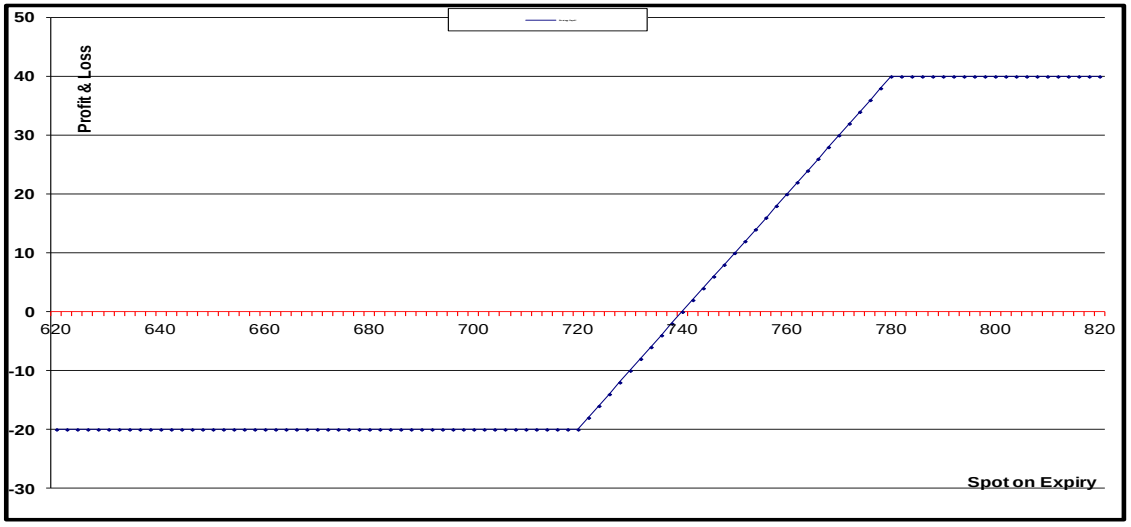
Profit/Loss at different prices	
NIFTY	Profit/Loss
21400	31000
21700	16000
22000	1000
22300	-14000
22600	-14000
22900	-9000
23200	6000
23500	21000
23800	36000
24100	51000

Bull Call Spread on GNFC (CMP 722)

Buy GNFC 30MAY 720CE at 35

Sell GNFC 30MAY 780CE at 15

- Total Premium Outflow & Max Loss: 20 pts, Target & Max Gain : 40pts, SL :10, Lot size:1300.
- The Stock has witnessed a fresh breakout with healthy additions of OI near ATM strike and rollovers have turn out on positive side for May series indicating strong buying will be witnessed in the stock while going forward.



Profit/Loss at different prices	
GNFC	Profit/Loss
650	-26000
670	-26000
690	-26000
710	-26000
730	-13000
750	13000
770	39000
790	52000
810	52000
830	52000

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26th April, 2024

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